

(1) Omniscient Consumers

Figure 1 Path of Consumption after a shock, Omniscient Consumers

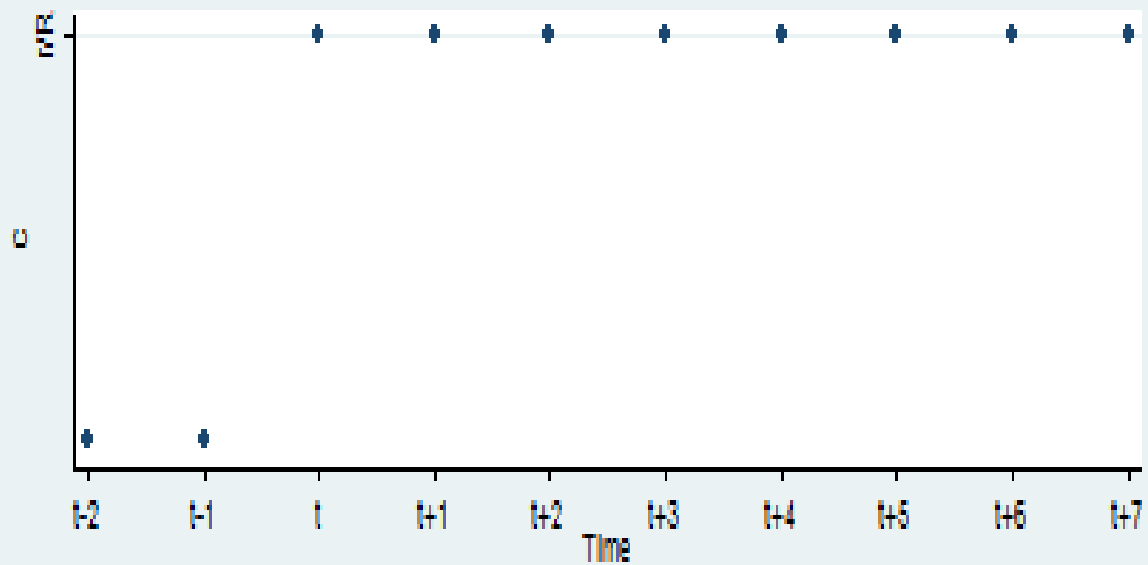
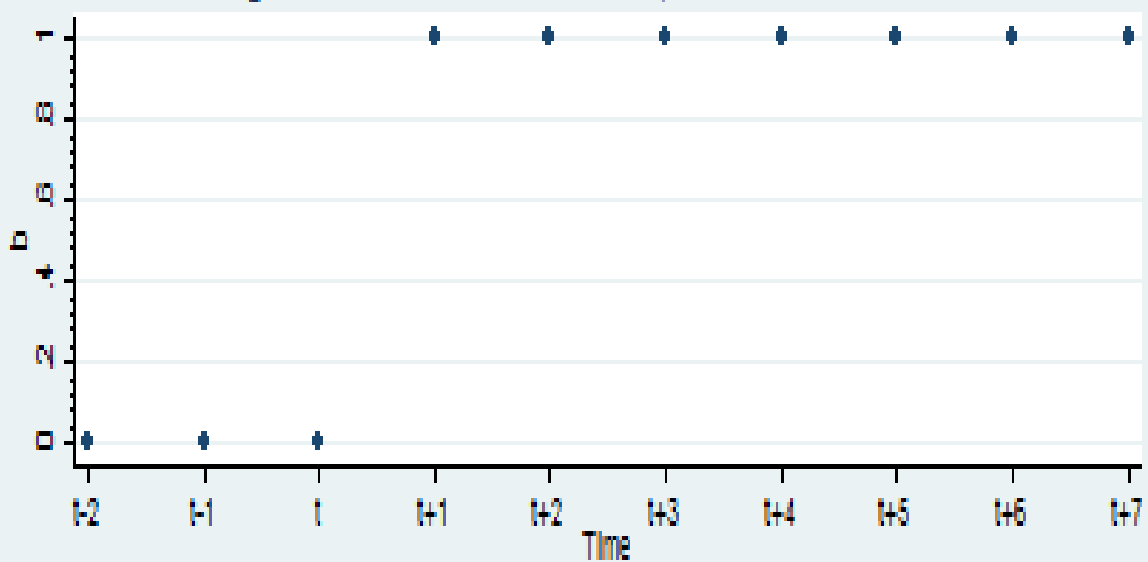


Figure 2 Path of B after a shock, Omniscient Consumers



(2) Sticky Expectation

Figure 3 Path of Consumption after a shock, Sticky Expectations

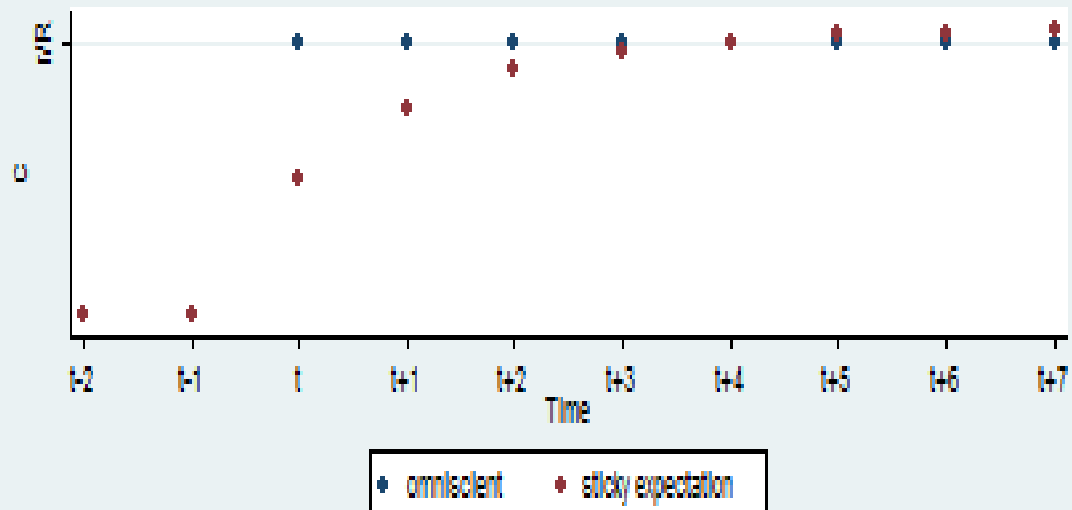


Figure 4 Path of B after a shock, Sticky Expectations

